Stock Focus

Aristocrat Leisure Ltd (ALL-ASX)

E&P

Sunday, 7 May 2023

Aristocrat - the ruling elite

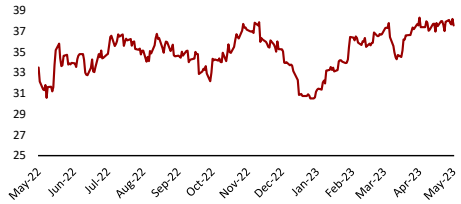
Recommendation: Positive

Last price	**AUD37.57**
Valuation	**AUD47.91**

TSR	
Upside to valuation	27.5%
Dividend yield	0.0%
Expected total SH return	27.5%

ALL-ASX share price historyASX200I

Source: E&P Research, IRESS



Trading Data	
Last price	AUD37.57
Valuation	AUD47.91
12 month range	AUD30.92 - AUD40.23
Market cap ($m)	$24,637
Shares outstanding (m)	655.8
Free float (%)	50.0
12 month return (historical)	62.0%

Earnings revisions

	FY23	% chg	FY24	% chg
Revenue	6,060.5	(5.2)%	6,552.7	(5.1)%
EBITDA	2,064.4	(10.7)%	2,167.5	(13.0)%
Adj. EPS	185.7	(12.1)%	197.7	(13.3)%
Val	**AUD47.91**	**14.36%**		

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Re-launching coverage of Aristocrat

We re-launch coverage of Aristocrat with a $47.91/sh valuation and Positive recommendation. Our long term thesis on Aristocrat is predicated on the company taking advantage of its scale to re-invest in content at a greater rate than peers on an ongoing basis. We believe this will deliver Aristocrat ongoing outsized returns across Land-based, Social Casino and iGaming categories over time.

We believe the iGaming segment is the biggest opportunity for Aristocrat to outperform, with a nascent earnings base it has been difficult for the market to anchor premises on the opportunity, and as such we believe consensus is very conservative on expectations. In contrast we believe Aristocrat has already set strong precedent with their ability to utilise their strong land-based brand in the Social Casino space, and investors should have confidence in Aristocrat's ability to transfer IP across categories.

We expect Aristocrat's land-based businesses to perform well in the near and medium term. In Social Casual, data points to near-term headwinds but we believe the studios have a good track record producing new content and we are hopeful on NOVA Legends and Merge Gardens providing new growth legs. In Social Casinos we expect consistent growth driven by benefits leveraging Aristocrat's land-based content.

FInancial forecasts and valuation

We forecast revenue growth of 8.3% CAGR to FY27, driving 10.9% EPS CAGR over the same period. With a P/NPATA of 18.7x FY23 (E&Pe) we believe this is a strong valuation case.

Our view

Aristocrat is a high quality business, with a strong set of content IP vs competition, a track record of stronger re-investment than peers (and a differentiated balance sheet to support this), and good and potentially expanding margins. We believe the market is not valuing the opportunity in iGaming with Anaxi despite Aristocrat having some runs on the board. Current multiples give investors decent downside protection as well. We re-launch with a Positive recommendation as a result.

Earnings Forecasts

Yr to Sep (AUD)	22A	23E	24E	25E
EBITDA	1,800.0	2,064.4	2,167.5	2,339.3
Adjusted Net Profit	948.5	1,217.6	1,296.4	1,423.9
Adj. EPS (c)	144.6	185.7	197.7	217.1
Adj. EPS Gth (%)	12.5	28.4	6.5	9.8
PER (x)	**22.8**	**20.2**	**19.0**	**17.3**
EV/EBITDA (x)	**11.7**	**11.4**	**10.7**	**9.8**
Net Debt/EBITDA (x)	(0.3)	(0.5)	(0.6)	(0.7)
Valuation (blended)				**AUD47.91**

Source: E&P Research

Stock Focus

Aristocrat Leisure Ltd

Aristocrat Leisure - transferring coverage and re-launching coverage

We re-launch coverage of Aristocrat Leisure (Aristocrat) with a Positive recommendation and $47.91/sh valuation.

We see Aristocrat as having significant IP-led advantages derived from a number of years of significantly differentiated investment in content vs peers, just as the transition to mobile and igaming gathers pace. We see two key drivers of the industry that favour Aristocrat to win further over time: 1) the requirement in industry to be able to fund multiple multi-year bets on content, and 2) reputation around content being a significant driver of initial commercial success for content.

Aristocrat finds itself in a position where its scale allows it to invest ahead of competitors, and its reputation for investing ahead of competitors, along with structural shifts to more spaced gaming floors desiring a greater mix of premium content on average, means customers are more willing to invest in Aristocrat branded content. We see a strong likelihood that Aristocrat's land-based market share will be in an upward trend structurally.

On Social Casinos and iGaming, we believe that Aristocrat has the ability to extend its land-based content into these form factors and achieve great success. Some proof is already in the pudding with Cashman Casinos, Lightning Link and other Social Casino mobile apps achieving good success leveraging Aristocrat's key land-based titles. We believe the same dynamic will apply to igaming over time. Our industry work in this regard suggests that the platform and remote gaming server (RMG) are regarded by key participants as less important to success (outside of enablement) than content. Industry expectations are for Aristocrat's premium content to make waves once it hits the market.

We believe a future Aristocrat with scale across land-based, Social and igaming markets will be able to invest at even greater scale advantages than is the case today, which will further increase competitive advantage over time. Given leverage over a single R&D program, incremental underlying margins should grow over time, which gives Aristocrat the option of migrating margins upwards or increasing its investment-led competitive advantages while retaining a good existing profile.

Based on our understanding of the market's view on the stock, in this report we have spent some time outlining our basic views on the land-based business, but we believe our views are quite consensus in terms of Aristocrat being a strong market leader, with an emerging challenger in Light & Wonder that still looks quite far behind on content leadership. As such the bulk of the report runs through some of the major digital assets in Social Casual and Social Casino, and then an initial view on Anaxi's potential. Our key thoughts in brief summary:

- Social Casual - we run through an overview of, and views on RAID, Mech Arena, NOVA Legends and Merge Gardens, being their largest revenue drivers or largest potential growth drivers presently. RAID in its current form will be in gradual run-off, however we see opportunity to move the IP into other gaming form factors, and also for tweaks to the new PVP capability to drive spending back up. Mech Arena looks like it is ex-growth in its current state now. NOVA Legends and Merge Gardens both look high potential but not the scale of something like RAID;
- Social Casino - we provide an overview of our views on Lightning Link and Cashman Casino. We expect both apps, and any other new Social Casino apps that Aristocrat releases, to grow on the back of land-based titles driving popularity;
- Anaxi - we run through our view on the opportunity in iGaming for Aristocrat. We believe it is big and underappreciated, and the most likely reason for Aristocrat to outperform expectations. As with Social Casinos, we believe this segment will benefit greatly from Aristocrat's popular land-based titles.

Stock Focus

Aristocrat Leisure Ltd

Land Based Gaming

Our test drive of Aristocrat Land Based Games

As part of getting to know Aristocrat's products better we spent an afternoon field-testing Aristocrat's games and comparing the experience to major competitor games in a live environment.

Our field test included playing on some of Aristocrat's premium games including Dragon Link, LIghtning Link and Dollar Storm, as well as non-premium Aristocrat games, and a mixture of mainly IGT, Konami and Ainsworth games as well as a few older Scientific Games machines (now Light & Wonder).

At a headline level, we came away surprised at how large a gap in user-experience there was between Aristocrat's premium games, particularly Dragon Link, and competitor or legacy offerings. Key elements that stood out to us included:

- Physical dimensions of the screens on the MarsX cabinet is a noticeable gap to competitor products in terms of overall absorbtion of attention into the game. It was our own personal preference ahead of Aristocrat's Helix+ cabinet and then the field;
- The relative consistency in shape and size of the two game screens and the display signage on MarsX - we were surprised how big an impact the cosmetics of the machines had on our perceptions of games, with screen size consistency a big thing for us. We preferred the Aristocrat 3 screen shaping to some of the gaming machines that are using curved screen technology (which is generally premium) or were using screen sizes that varied on the same cabinet. One other weirdly noticeable element was the consistency of width in the machine had a big impact on our feeling, and again was something more prominent in the Aristocrat cabinets;

Exhibit 1 - Dragon Link - for us a standout in our field test



Source: Inside Asian Gaming

- The graphic designs that were displayed (and accompanying audio, albeit the graphics to us were more impactful) when we experienced a winning combination (eg. when Lightning occurred in Lightning Link)
- Maybe coincidental due to small sample size, but on all of the premium Aristocrat games we experienced being up materially vs our initial money-down prior to purposefully burning through the balance so we could test other games, and were able to get to an initial 'hold and spin' sequence within the first few minutes each time too, driven by higher apparent volatility. If

there is something to this in the underlying maths engine of the game it probably had a positive impact on our impressions, albeit we would note we are talking about a small sample size;

- On the Aristocrat premium games in general it appeared that the maths has a principal to it that if you 'win' a round that your dollar balance should be guaranteed (or at least far more likely) to increase, whereas other games saw your balance decline despite 'winning' a round quite frequently. We note that we surveyed the underlying win rates and Aristocrat did not stand out in either having a high or low average win rate vs other machines, so this appeared to be all about game design;
- Aristocrat premium games had significantly better flexibility to adjust bet sizing, so if you wanted to, you were guaranteed to be able to play your balance down to exactly zero. This was a surprising difference (at least surprising to us that not all games enable this), and we felt it made a large difference to overall impression of the games

We believe Aristocrat will continue to gain share in land-based games

We believe that consensus is already expecting Aristocrat to gain market share over time, as such we will cover the highlights quickly. Our industry work has indicated that Aristocrat remains materially ahead on game performance, driven by its outsized investment levels. Customers we spoke to generally reported ~50% allocation to Aristocrat on incremental expansions.

Aristocrat premium content is currently the most anticipated content for slot machine floor managers in the USA, with 6 of the top 10 games, and the NFL by far and away the most anticipated game.

Exhibit 2 - Most Anticipated Premium Leased Games

No.	Supplier	Game	Votes	% of total
1	Aristocrat	NFL	25	28%
2	Aristocrat	Jackpot Carnival	10	11%
3	LNW	Frankenstein	8	9%
4	Aristocrat	Lightning Dollar Link	6	7%
4	Aristocrat	Buffalo Link	6	7%
5	Aristocrat	Cash Express Luxury Line	4	5%
6	IGT	Propserity Link	3	3%
6	Aristocrat	Dragon Link	3	3%
7	LNW	Ultimate Fire Link Explosion	2	2%
7	Aruze	Rock Paper Scissors	2	2%

Source: Eilers & Krejcik

While less dominant in coverage of the top 10, Aristocrat cabinets are also the two most anticipated cabinets, with MarsX Flex dominantly more anticipated than other cabinets being offered.

Exhibit 3 - Most Anticipated Core Cabinets

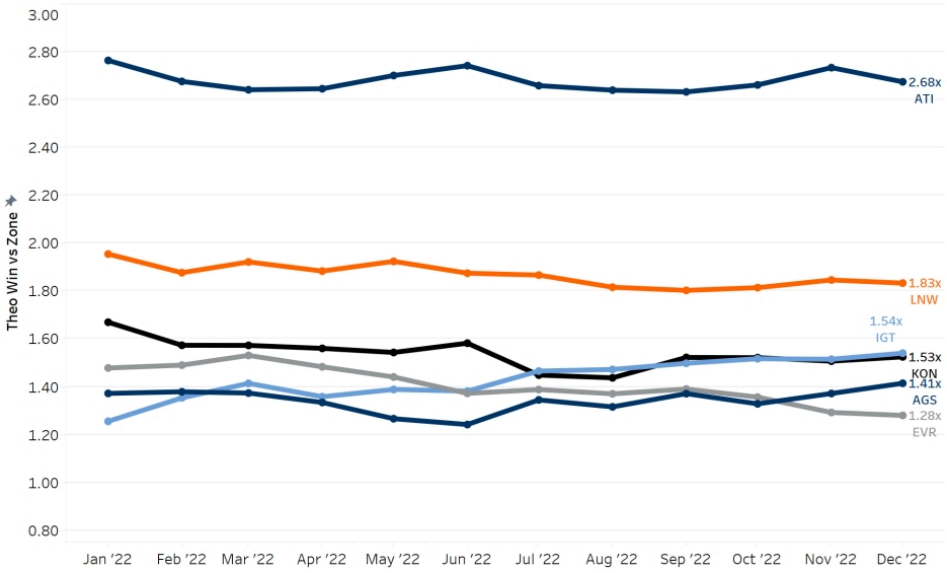
No.	Supplier	Game	Votes	% of total
1	Aristocrat	MarsX Flex	21	25%
2	Aristocrat	Neptune Single	10	12%
3	Everi	Dynasty Vue	8	10%
4	LNW	Cosmic	7	8%
5	LNW	Kascada Dual Screen	5	6%
5	LNW	Kascada Slant	5	6%
6	AGS	Spectra UR43	3	4%
6	IGT	Diamond RS	3	4%
6	IGT	Peak Dual 27	3	4%
7	AGS	Orion Curve	2	2%
7	Aristocrat	MarsX Slant	2	2%
7	Bluberi	Novus B49	2	2%
7	Incredible Technologies	Prisim VXP	2	2%
7	LNW	Landmark 7000	2	2%

Source: Eilers & Krejcik

Both these statistics highlight the superior design capabilities within Aristocrat vs its competition. We note that we have attempted to view/review a fair number of slot machines as part of our research, and we did find Light & Wonder's Frankenstein game to be a 'cool' concept. While we would not expect a Frankenstein theme to take the Casino world by storm, as a niche themed game it did demonstrate that Light & Wonder has got some good creative capabilities as well.

In terms of Aristocrat's competitive advantage, we believe some of the 'anticipation' statistics are partially informed by Aristocrat's history of premium games driving far higher net win rates vs floor/zone average for Casino operators. Fundamentally, Aristocrat's quality games are more engaging, which drives more profits for operators, which drives more anticipation for next release, which drives more purchasing - a virtuous circle as long as you sustain high quality R&D.

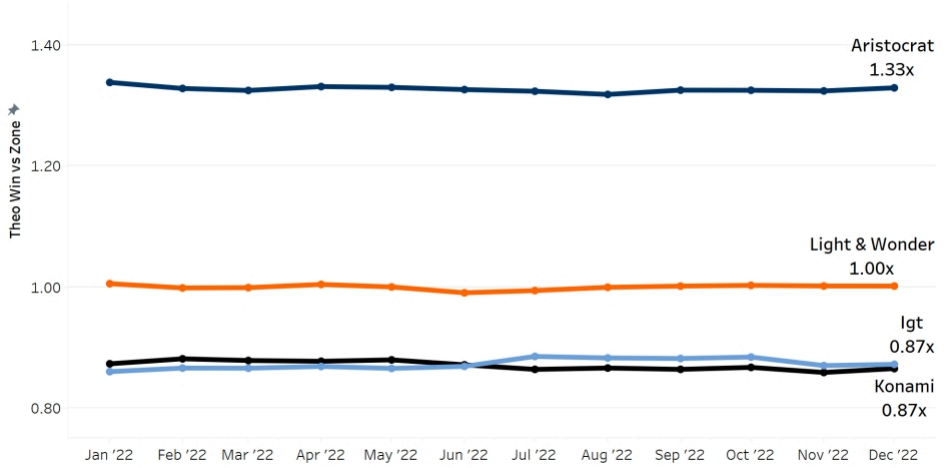
Exhibit 4 - Premium leased - net win vs. zone average



Source: Eilers & Krejcik. Note: Trending Theo Win Index vs Zone Average by Supplier for the trailing 12 months. Note, VLT and class 2, WAP units, and all Video Poker, Keno, Skill, and ETG units. Class 3 only. Excludes Route Operations

Aristocrat's dominance in premium game performance translates to overall portfolio performance vs competitors as the only provider that averages above zone average consistently.

Exhibit 5 - Overall - net win vs. zone average

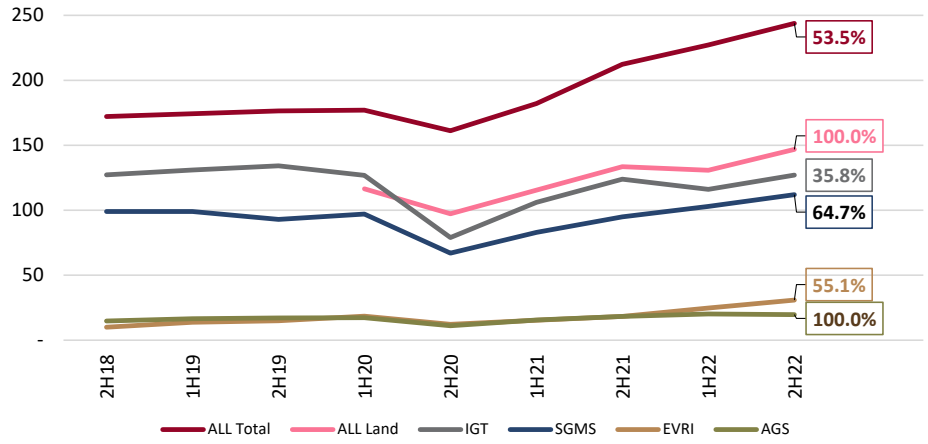


Source: Eilers & Krejcik. Note: Trending Theo Win Index vs Zone Average by Supplier for the trailing 12 months. Note, excluding all Video Poker, Keno, Skill, and ETG units. Class 3 only. Excludes Route Operations.

We believe this is driven by investment levels in R&D, with Aristocrat consistently outspending competitors on R&D by a relativley large margin historically.

Below chart the % shows what proportion of their revenue relates to slots, and therefore an implied proportion of their R&D that is actually on slots. So Aristocrat Land (ALL Land in pink) at 100% should equals ~3x the equivalent investment level for IGT whose total budget is the same, but business mix only 35.8% skew to slots.

Chart 1 - Research/Design & Development (US$m) - 3Q22 % of Revenue from Gaming Segment as label



Source: Company data, Visible Alpha, E&Pe. Note: Aristocrat proportion based on 2h22, Aristocrat Land based 2h22 Design and Development expense includes Anaxi Gaming (RMG segment)

Aristocrat is able to do this due to its scale, with only IGT having comparable revenue, but also being run for higher profit levels more so than for growth.

In this regard, Light & Wonder has recapitalised itself recently with the sale of its Lotteries business, and now has more financial flexibility with a less highly-levered balance sheet (and a strategy and team in place) to potentially become more competitive with Aristocrat in terms of investment levels. Some of the other players in the industry carry gearing levels that likely prevent them from increasing investment spend, or have smaller scale R&D budgets which means a lower probability of hitting a winning game.

The below table benchmarks Aristocrat (in USD) against peers using Bloomberg consensus, and illustrates relative scale and ability to invest. Noteworthy is that Light & Wonder and IGT (the other two in the big 3 in the space) both carry significantly more debt than Aristocrat.

Exhibit 6 - Aristocrat vs Comps - Aristocrat has either better scale, a better balance sheet, or both, to re-invest

Name	MC	EV	Revenue (US$m)		CAGR - Revenue		EBITDA (US$m)		CAGR - EBITDA		EV/Revenue		EV/EBITDA	
	US$m	US$m	FY23E	FY24E	FY19-25	FY23-25	FY23E	FY24E	FY19-25	FY23-25	FY23E	FY24E	FY23E	FY24E
SLOT MANUFACTURERS														
Aristocrat	**16,587**	**17,511**	**4,038**	**4,156**	**6.5%**	**3.7%**	**1,367**	**1,433**	**6.0%**	**5.1%**	**4.3x**	**4.2x**	**12.8x**	**12.2x**
Light and Wonder	5,398	8,502	2,680	2,838	-2.0%	6.7%	993	1,092	-	-	3.2x	3.0x	8.6x	7.8x
IGT	5,527	11,601	4,167	4,288	-1.0%	3.7%	1,678	1,759	1.6%	5.2%	2.8x	2.7x	6.9x	6.6x
Everi	1,448	2,225	830	867	9.6%	4.2%	390	409	9.1%	4.7%	2.7x	2.6x	5.7x	5.4x
PlayAGS	235	754	326	337	2.3%	3.8%	146	152	1.7%	5.2%	2.3x	2.2x	5.2x	5.0x
Konami	6,781	5,610	2,314	2,515	2.1%	7.0%	525	673	3.3%	17.5%	2.4x	2.2x	10.7x	8.3x
Ainsworth	226	219	175	185	3.0%	4.6%	33	35	3.9%	6.0%	1.3x	1.2x	6.6x	6.2x
Inspired	336	584	315	308	14.6%	-0.5%	106	114	17.9%	6.4%	1.9x	1.9x	5.5x	5.1x
Median	**3,488**	**3,917**	**1,572**	**1,691**	**2.7%**	**4.0%**	**457**	**541**	**3.9%**	**5.2%**	**2.6x**	**2.4x**	**6.8x**	**6.4x**
Mean	**4,596**	**6,527**	**1,856**	**1,937**	**4.4%**	**4.2%**	**655**	**708**	**6.2%**	**7.2%**	**2.6x**	**2.5x**	**7.8x**	**7.1x**

Source: Bloomberg consensus

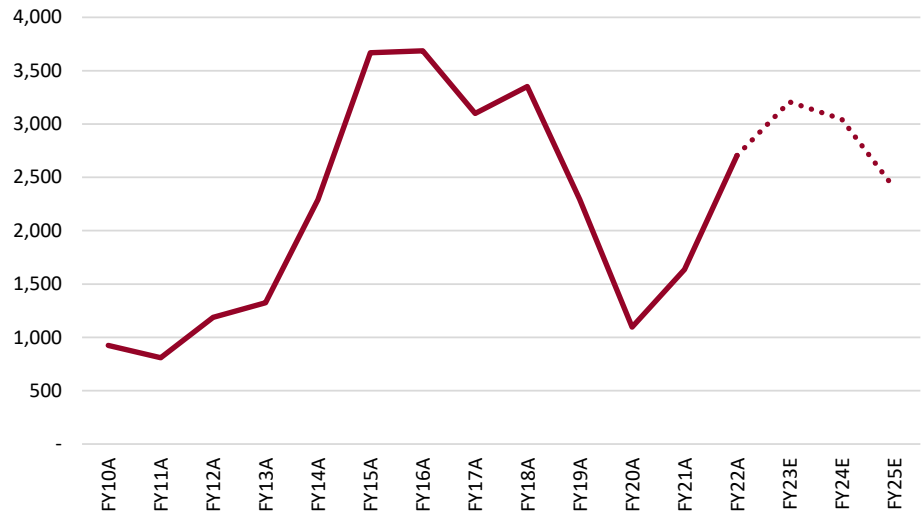
Shorter term trends in Land-based gaming

US Casino Capex Cycle

The onset of the Covid-19 pandemic resulted in a slashing of capex budgets across US casinos, with most spend coming in the form of maintenance capex. Total capex has mostly recovered but remains below the pre-covid peak both as a nominal metric as a proportion of total revenue. The only consistent long-term trend that can be observed is that maintenance capex as a proportion of revenue has been steadily increasing.

The chart below shows US Casino capex since 2010. FY22 was a good year in terms of total capex from Casinos, but in light of the trough years in 2020-21 we believe current capex levels are more in line with normal than not. We do not expect a major rollover of US Casino capex (and therefore any major headwind on spend on slot machines in general terms).

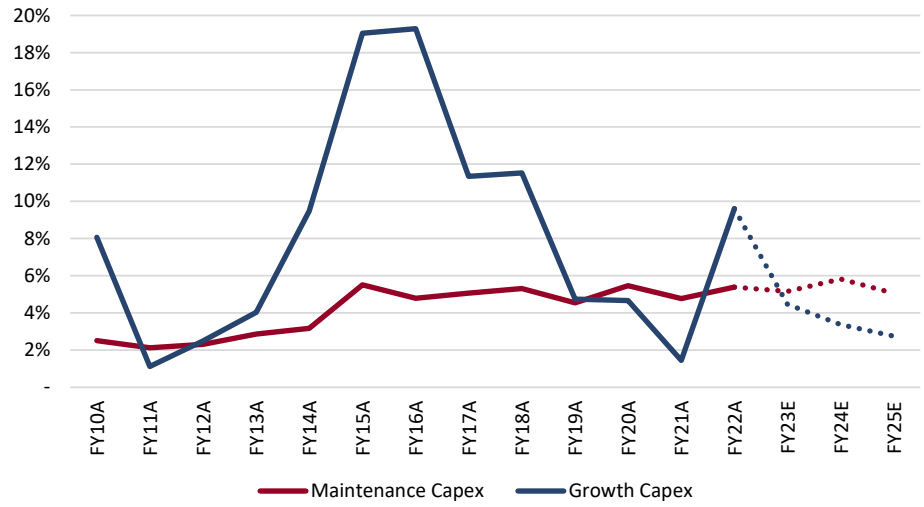
Chart 2 - US Casino Capex (US$m)



Source: Company data, E&Pe. Includes MGM Resorts, Caesars Entertainment, Penn National, Churchill Downs, Wynns Resorts

The below chart looks at total US Casino spend as a percentage of revenue, and also delineates between maintenance capex and growth capex. In terms of expansion/growth spend FY22 looks like quite a normal year by historic standards, as such, while there is a cycle to Casino capex we believe that FY22 as a baseline for mid-cycle modelling is a safe starting point.

Chart 3 - US Casino Capex as a proportion of Revenue (%)

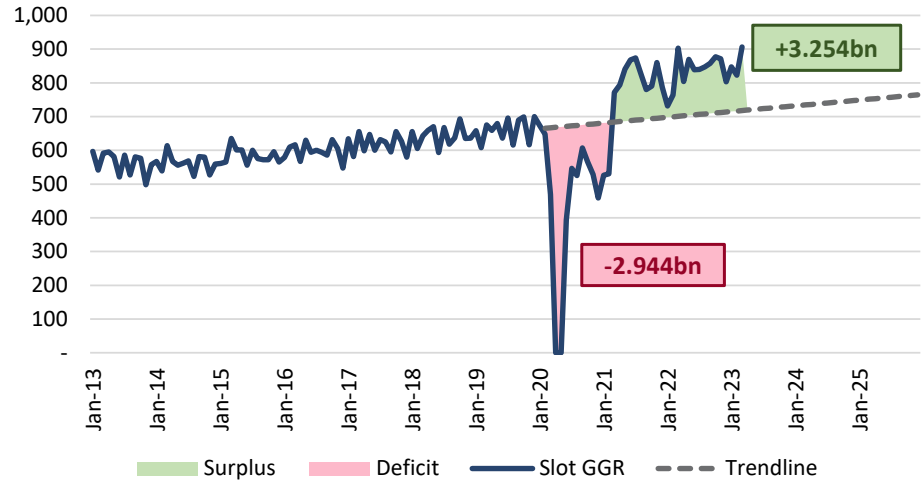


Source: Company data, E&Pe. Note: includes MGM resorts, Churchill Downs, Wynn Resorts

Gross Gaming Revenue is maintaining solid levels, albeit industry expectations are for more headwinds

Recent industry feedback has been that Gross Gaming Revenue in the US has remained elevated and growth rates have been solid despite comping government stimulus programs at this point in time. However, expectations are for this to soften somewhat later this year.

Chart 4 - Nevada Slot GGR (US$m)



Source: UNLV, various state gaming bodies, E&Pe

The main debate is about whether the area under the chart above highlighted as 'Surplus' in green is a new normal, or catch up for the deficit in GGR experienced during the pandemic and recovery. Our general thinking on this is that inflation is also a decent explainer for the change in GGR from pre-pandemic to post-pandemic, and as such this may just reflect higher nominal wages in the USA as well.

Stock Focus

Aristocrat Leisure Ltd

Pixel United

Over the summer our team did some extensive product testing of RAID and Mech Arena to understand more about the quality of gaming development within Pixel United from a user-experience and monetisation perspective, and to understand more about the likely competition that each of Pixel's major games faces.

Our general initial impression of Pixel United, and Plarium in particular, is that it is quite a good game studio in the scheme of things, however the reliance on pay-to-win monetisation will constrain success, particularly now that RAID is moving into live PVP where you are competing for gamer time (and liquidity) with platforms that enable free players to compete at the highest levels.

Overall our impression is that RAID is a game with likely very long term sustainable earnings given the depth of characters and story. We think the recent announcement of a move into live PVP will be positive for user-dwell-times and general engagement, and will enhance the social competitive dynamics of the game if they make some changes to how it works. Given the level of depth of content in the game we believe that RAID could be extendable in the future into other avenues beyond the first step-out into live PVP. We believe there are opportunities with RAID IP in other form-factors, such as different game formats that steer the IP in different directions (for players familiar with the game, for example faction driven formats) or even other forms of creative content such as League of Legends has done with its Netflix series Arcane.

For Mech Arena, the main concern we had in general was that the game comes up against the Battle Royale style games like PUBG Mobile and Fortnite, as well as 5 v 5 or mobile online battle arena games like DOTA and League of Legends, in terms of competing for user time. From that perspective, the controls were not 100% intuitive for a mobile game, even when compared (in our view) to something like PUBG. As such while it has had a successful initial year, we don't see that game scaling significantly further in its current form. Mech Arena was far more enjoyable from our perspective on the PC format with mouse controls, but has been marketed through an app environment. The other element that meant we were less hopeful of the game scaling further is the nature of its monetisation model being built around pay-to-win vs other Battle Royale or Battle Arena games being more built around cosmetics (skins) or potentially earlier access to new content, as opposed to any real advantages in live gameplay.

In addition, we feature our initial thoughts on NOVA Legends and Merge Gardens, the two call-outs from Aristocrat in their last results as hopeful new game content to drive revenue growth in Pixel United. Our initial impressions on both are that they have the potential to drive some incremental growth for Pixel United but neither will end up scaling massively like RAID. NOVA Legends has been positioned for it to have some greater scaling potential, with no external advertising in the game at this stage (ie. very focussed on user experience) whereas Merge Gardens as already gone after a monetisation strategy for the category.

RAID: Shadow Legends

RAID is Aristocrat's most successful mobile game, available both on mobile and PC. It is a turn-based tactics game with a dark fantasy thematic, and an impatience and gacha driven monetisation mechanic.

Gameplay

Players choose an initial starting character (we chose Galek of the Orcs) and then progress through turn-based battles against AI-driven teams. Battles are available to play in the following formats:

- Campaign - the main story mode, progress through stages of increasing difficulty
- Dungeons - beat various bosses at multiple difficulty levels for different reward types that helps strengthen your characters
- Faction Wars - progression battles but compose teams from only one race (eg. Orcs, Dark Elves, Shadowkin etc)
- Arena - play against other players' teams in either a one or three team format
- Clan Bosses - team up with a clan and defeat large bosses for additional rewards
- Doom Tower - tower progression format that makes different champions and upgrades available against higher difficulty opponents

Exhibit 7 - Galek the Orc is one of the starting characters in RAID



Source: RAID

At the moment the game only provides limited multi-player functionality, with Arena battles the main way of interacting with another human. These battles are a mix of active vs AI/passive as well as a new live interactive element that is less well developed. As such RAID has relied more on leader-boards and tournaments in order to spur in-game competition and cooperation. Within this constraint the level of monetisation RAID has achieved is pretty strong.

The screenshot below shows the Arena area of RAID, with three options:

- Classic Arena: choose four champions from your team to defeat four pre-set champions from another player's team
- Live Arena: a very recent addition to the game where you can play a live match against a human opponent
- Tag Team Arena: choose three teams of four champions from your team to defeat three pre-set teams of four champions from another player's team

Exhibit 8 - RAID Arena choices include one live and two passive options



Source: RAID, E&P

RAID has launched live PVP this year with the Live Arena gameplay. We believe this will be generically better for monetisation as it will both trigger more real-time desire to 'win' as well as different monetisation pathways around skins and themes that are popular in live multiplayer games such as League of Legends or PUBG Mobile.

Exhibit 9 - RAID live Arena will go live later this year



Source: RAID, youtube

Monetisation

RAID is monetised presently through a mixture of smaller and larger transaction offers that provide the player with different kinds of utility. As a general principal the game is a 'pay to advance' style monetisation format, albeit typically with bundles. Players can pay for the following:

- Shards - that provide a randomised new (or existing) character at a randomised (from a more limited range) level;
- Gems and silver - provide different kinds of utility around upgrades for your characters
- Packs - provide bundles of some combination of shards and various upgrade items

Packs for purchase range in value from $0.99 for a single shard (available once per day) all the way up to $159.99 at the time of writing. We note that $159.99 is a higher price than most AAA games which typically cap out below $100.

Exhibit 10 - RAID shop packs range from micro to significant transactions



Source: RAID

The game also frequently flashes shorter term deals in front of users that are then also available from a menu, that typically range from $15-65 depending on the contents of the deal. The game also offers two subscription-style arrangements (Raid Cards) that provide higher rewards for winning battles.

Exhibit 11 - RAID limited special offers



Source: RAID, E&P

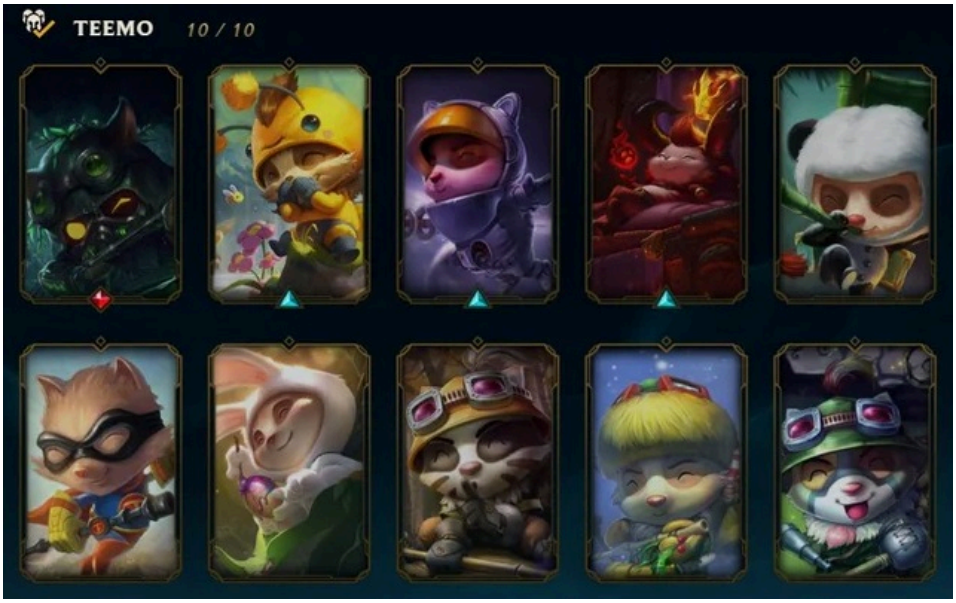
One of the key elements of the game's monetisation is the gacha mechanics of the character shards players can acquire. The shards provide randomised players among a pool of almost 600 characters, and in order to speed up the pace of acquiring new characters a player must purchase shards (or a player can work their way quite slowly through the game).

In addition, when upgrading equipment for a character, most upgrades have a percentage chance of succeeding as opposed to just a fixed price.

Opportunity for more skins monetisation in live PVP

Depending on execution and development, RAID launching live PVP capabilities will likely lead to a new larger ability to monetise on character skins. There are numerous very large games globally that have relied almost exclusively on monetising skins in order to commercialise games, including League of Legends and Dota (5 v 5 arena) and PUBG Mobile and Fortnite (Battle Royale). These games typically have a certain ethos around not paying to win that drives a large network effect, however the desire from players to purchase skins is typically more about things looking 'cool' or being different from other players. Below is an example of skins for a popular League of Legends character Teemo. These skins will typically cost around $5-20 per skin.

Exhibit 12 - League of Legends - assortment of Teemo skins



Source: League of Legends

RAID had started down the path of monetising based on appearance, with (as an example) the recently added promotional Ronda Rousey character "Ronda" that has one standard skin (shown below and included if you acquire the character) and one premium skin available. At present there are very few characters in RAID that have skin upgrade options available, but as players become more interactive through live PVP we would expect demand for, and popularity of skin upgrades to increase.

Exhibit 13 - RAID - Ronda character has a skin upgrade option



Source: RAID

One of the key methods of skin monetisation in P2P games generally is limited time availability, and the other is battle passes that allow players access to a range of premium skins or similar (eg. in PUBG mobile it also enables decorated equipment) for the duration of the battle pass. PUBG and PUBG Mobile in particular have very successfully deployed the Battle Pass monetisation model which provides temporary access to a range of skins for a monthly fee.

Initial thoughts on PVP post-launch

We have trialled the initial PVP capability, and are not expecting massive outcomes out of the gate, it will be a work in progress. The major problem RAID is facing presently appears to be around liquidity of players as opposed to the mechanics of the PVP games themselves. We have played in ~20 games so far and only had one match with a well-suited opponent (our profile is at level 53, and we had one level 54 match, otherwise all other matches have been in the range of level 70-100 which is indicative

of a player with at least 4x the team power - ie. highly unbalanced match and poor user experience, particularly compared to the rest of the game).

In order to solve for this the game is going to have to push more players to be actively engaged with the PVP segment of the game more of the time in order to take advantage of the underlying player liquidity. This could be achieved by actively prompting players about an appropriate match rather than getting players to dwell in the PVP area, or alternatively leveling the playing field via neutralising character levels and equipment advantages some how.

Stock Focus

Aristocrat Leisure Ltd

Mech Arena

Mech Arena was the second focus in our review of the Social Gaming part of Aristocrat due to it being seperately named in the FY22 results at 3% of Pixel United revenues (and not declining like EverMerge, which we also trialled but don't believe there are expectations around). As a preface to our review of Mech Arena, in order to understand our assessment, the reader should understand that while I (Paul Mason - main tester from our team on this game) am generally coordinated as it relates to gaming in terms of understanding controls and reaction times etc and have historically (when I had more time and less kids) played League of Legends and PUBG, that I am not (and never was) capable of competing in the advanced rungs of any of the larger Battle Arena or Battle Royale games. In recent comparative testing for the sake of understanding my initial experience with Mech Arena, I did not do well on either League of Legends or PUBG Mobile - I've lost my touch so to speak.

So with that preface, we believe that Mech Arena has not acquired a critical mass of players in its initial release that will enable the game to thrive. The below screenshot of me winning a match with a dominant individual performance (see the comparative awards for kills and other achievements) should not be happening in a game with scale given my current aptitude. The first 50 or so games were pretty consistently the same experience in the first three levels of the game (out of 11 divisions). Once in Division 8 (fourth lowest division in the game out of 11) all of a sudden you encounter players that have paid to upgrade their mechs and the experience changes very much where it is clear that better mechs and weapons have advantages, and maybe some users will get incentivised to begin purchasing. Even with this, on a non-paying basis my win-rate only temporarily dipped down to about 75% briefly before I got a new weapon (free) that has again meant I am back to a 100% win rate with significantly dominant outcomes.

I'm presently up to Division 5, and the players are better, but still my win rates are very high, and MVP rates also very high, and I have spent a total of $5 so far.

Exhibit 14 - Mech Arena - I should not be dominating competition in this game like my experience has been



Source: E&P, Mech Arena

The actual game-play itself is relatively intuitive, particularly for gamers with prior experience on games like DOTA/League of Legends. In general there are two ways of winning that are related, gaining influence by controlling landmarks (similar to capture the flag/capture the base), or else by eliminating all the other team's Mechs. Each player has one or more Mechs that they can battle with, and the weapons are somewhat customizable and upgradeable, albeit with a monetisation pathway in the way of this. We would note that the controls are a little bit clumsier on mobile than PC, and in general the game plays much better on PC with a mouse controller for the different firing options.

The format is 5 v 5 in an enclosed arena and so holds strong analogy with most of the major multiplayer online battle arena (or MOBA) games including having major lanes for combat as well as areas that are analogous to 'jungle' where there are more

obstacles and lower visibility. The main difference being that Mech Arena is not strategically deep and the gameplay is usually only expected to go for a few minutes due to lack of reincarnation, and also the vantage point is only first person.

One odd dynamic in the game is that players with multiple Mechs get to use them all in a given game, so say for instance presently we have 4 Mechs, and if we come up against a player with 2 Mechs on the opposite team we in effect get twice as many lives in a given battle - but this also isn't made overtly clear in the game, players are left to figure this dynamic out themselves.

When games in this format hit scale they can be immensely profitable, with League of Legends grossing more than US$1.5b per annum consistently including US$1.8b in 2022 from 180m monthly active players (so ~US$10/yr revenue per monthly active - albeit with a variety of revenue sources). We would suggest that there is work to be done to get this game to scale massively, but the underlying gaming design is a pretty good MOBA. Some basic things that would expand gameplay include adding a re-incarnation element which would allow for longer games or potentially including dynamics that allow for changes in strength of players through the course of a match.

Exhibit 15 - Mech Arena gameplay screenshot



Source: E&P, Mech Arena

Monetisation

We experimentally spent a little bit of money as part of the latter part of our trialling of Mech Arena, and a few things stood out:

- Because of how easy it has been to win in general, there hasn't been some clear signal that there was a need to buy any of the potential upgrades
- While on the landing page of the game (below) there is a clear "Shop" it was surprisingly not intuitive as to what to buy and for what reason (there are options for different mechs, different pilots, different weapons and upgrades, but not great information to help understand how gameplay would change with a given upgrade)
- To this end as well, on opening the app at the moment it spams you quite heavily with ads for paid enhancements to the game (usually at least 5 suggested purchases to get through in order to get to the actual game play, and our current real time experience is usually 9 ads, very much starting to heavily detract from the experience), which appears indicative of desperation and the game focussing a lot less on gamer experience at this point

- Mech Arena monetises in part through advertising on a voluntary/reward driven acceptance basis, which we did take advantage of reasonably frequently and potentially reduced our desire/propensity to purchase upgrades direct, but also Mech Arena has definitely earned more than just the $5 we spent on purchases from us.
- Because it is multiplayer Battle Arena, the benefit of spending to win (given the monetisation mechanics are about pay-to-win) were note super effective in our view as spending up does not appear to prevent you from being paired with non-paying players (whether noobs or otherwise).

Exhibit 16 - Mech Arena landing page has a lot going on



Source: Mech Arena, E&P

The below screenshot of the Mech Arena marketplace is illustrative of the lack of intuition around why to buy items that are suggested, and also as a headline maybe the concept of a skin on a Mech is somewhat less appealing than for a 'character'.

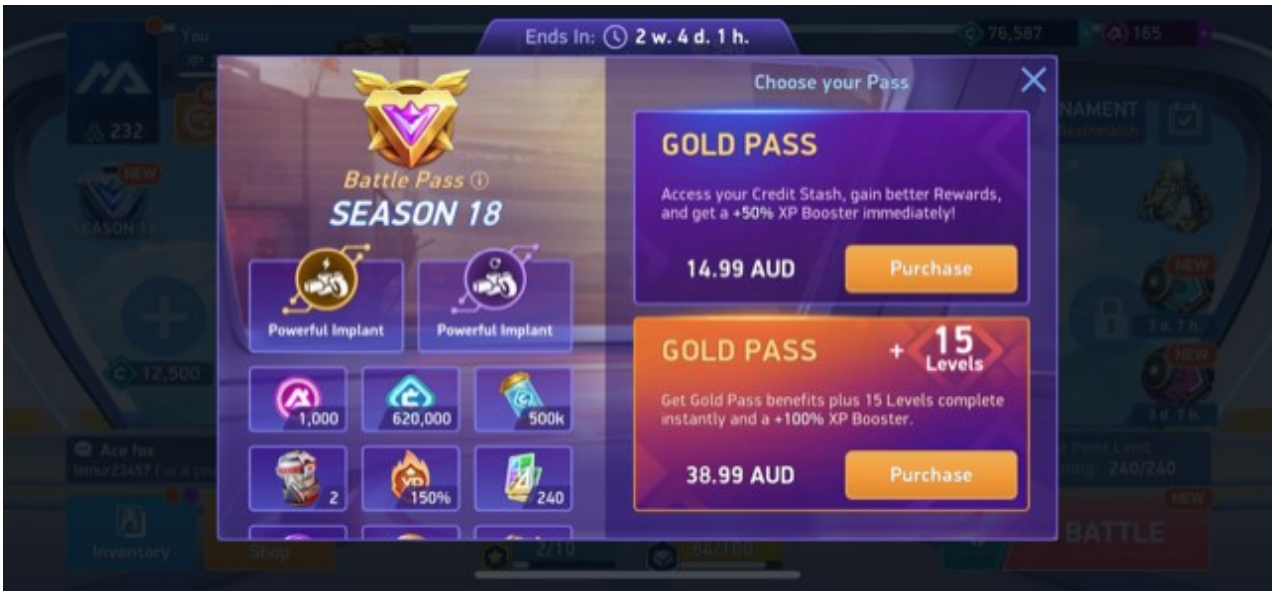
Mech Arena shop - not as intuitive as a lot of other shopfronts in mobile games



Source: Mech Arena, E&Pe

Mech Arena is also offering Passes that provide you with better rewards and faster experience accumulation in the game. At the moment this is probably lagging vs other PVP Battle Arena/Battle Royale offerings in terms of depth of offering vs price where for example the equivalent product in PUBG gives you a whole bunch of different skins/decorations as well to differentiate your look in game.

Exhibit 17 - Mech Arena battle passes



Source: RAID, E&P

Stock Focus

Aristocrat Leisure Ltd

NOVA Legends and Merge Gardens

One of Aristocrat's growth drivers this year is the release of NOVA Legends and Merge Gardens. We take a quick look at both games below. In aggregate we don't believe that they have come up with their next RAID, but both games could provide a level of revenue that keeps the growth expectations of the market filled for the next two years.

NOVA Legends

NOVA Legends has taken the format of RAID and made a few tweaks. The game itself involves levelling up heroes to get through harder and harder battles, but with two major differences vs RAID:

1. Gameplay involves characters moving simultaneously rather than purely turn-based (therefore meaning actually less hands on control of real-time strategy/tactics and instead largely pure automation of battles), and
2. The cosmetics of the game are driven by more of a space/futuristic thematic compared to RAID that is oriented around classic dark fantasy themes.

Exhibit 18 - NOVA Legends gameplay



Source: NOVA Legends, E&P

User experience has been prioritised over upfront monetisation in the game, with our experience so far being very light on in the advertising impact on internal product, and no external ads whatsoever (similar to RAID but less internal ads too).

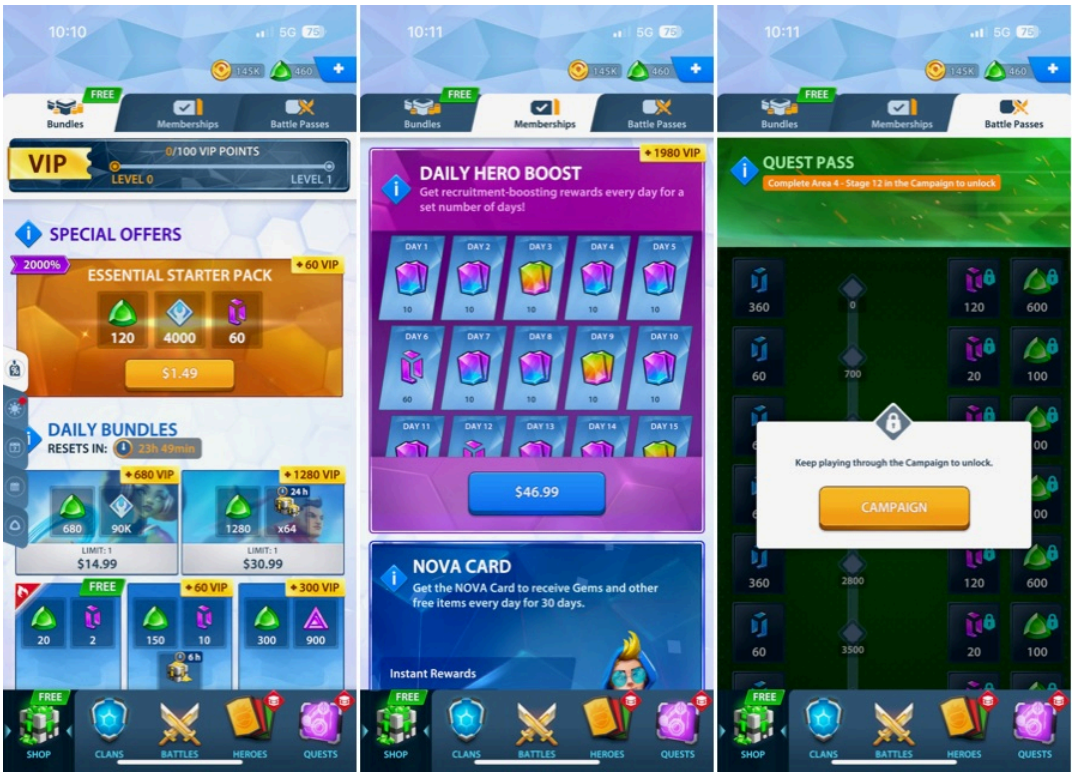
The game on-ramp (introduction to key features and gameplay) is pretty straightforward and figuring out how to level things up is quite intuitive. The main weakness in the experience so far has been the lack of meaningfulness to the stage progression in the campaign map (main progress mission part of the game). In RAID by comparison there is decent visualisation as to how

you are progressing and the rewards of progress (and a story line that you graduate through as you complete the initial easier level of the campaign map), whereas there isn't really a narrative in the game that progress is built around in NOVA Legends (or at least not that we have picked up on).

The image below shows three screenshots of the different ways NOVA Legends tries to monetise:

- Bundles - buy some additional in-game currency to upgrade characters and items
- Memberships - pay a fee and get different additional daily rewards to help upgrade faster over 30 days, or pay a weekly or monthly price and get additional rewards all the time with the 'Legend Membership'
- Battle Passes - similar to other Battle Passes out there in providing special challenges for unique rewards, with greater rewards if you pay than if you don't

Exhibit 19 - NOVA Legends monetisation features: Bundles, Memberships and Battle Passes



Source: NOVA Legends

So far we have not felt compelled to purchase anything from the game, however we would note that it took us a while to feel the same impulse inside RAID and subsequently it has become more compelling as the levels of RAID have become more difficult to complete. We will revert with an impression on this if the game starts scaling and we also start to see the same game dynamic emerge in NOVA Legends in the future.

Merge Gardens

Merge Gardens is a classic triple-merge game, albeit combining some basic puzzles (akin to Candy Crush style triple match games) into the game dynamic, which is an interesting twist on the concept. This will somewhat differentiate the game from the likes of Evermerge that stick largely just to the traditional triple-merge dynamic.

The graphics in the basic game are at a good standard for the game format albeit a similar standard to Evermerge, and there are some characteristics like the use of bird characters to help harvest different items that make it a little more interactive than a usual triple-merge game on the main merge screen too.

Exhibit 20 - Merge Garden basic gameplay



Source: Merge Garden, E&P

Stand-alone the dynamic of joining triple-merge to a matching game won't revolutionise gaming but is a neat way to combine categories, and we believe has the potential to be popular. The screenshot below shows the matching game which is relatively classic in its design and has lots of comparable games out there.

Exhibit 21 - Merge Garden example puzzle gameplay



Source: Merge Garden, E&P

In terms of monetisation, the game flashes a moderate volume of internal product ads at the player, and has a page where players can buy gems in order to basically speed up the game play progress. In addition, the game already provides players with the opportunities to watch external advertising for partial progress steps too.

Exhibit 22 - Merge Gardens monetisation via gem purchases



Source: Merge Gardens, E&P

Overall we could see this game easily surpassing Evermerge given the combined game dynamics. So far it has appeared to not cannibalise Evermerge bookings in any significant manner, while short term data is suggesting that bookings are now starting to grow. This game looks like it has reasonable potential to fill growth expectations in the shorter term as it looks like one of the better games out there in an established category.

Shorter Term dynamics in Social Casual

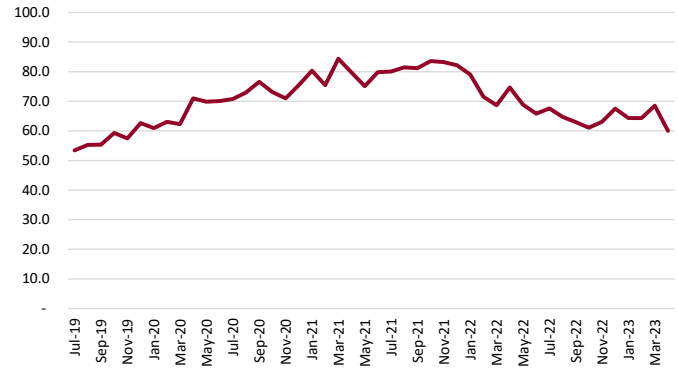
Over the shorter term, RAID and the overall Social Casual business has seen softer booking rates.

For RAID this just is the trajectory and speaks to a mature game that is spending less on user acquisition presently, albeit as discussed we believe with some changes there is the potential for this game to go back to growth again driven by skins or new formats.

For the remainder of the segment, we would note the recent increase in paid-advertising (on an opt-in ad-by-ad basis within each app that has it) within the Social Casual segment as discussed above. This potentially changes the monetisation dynamic and could in theory mean that the Social Casual bookings data we track is no-longer providing a great indication of overall group monetisation.

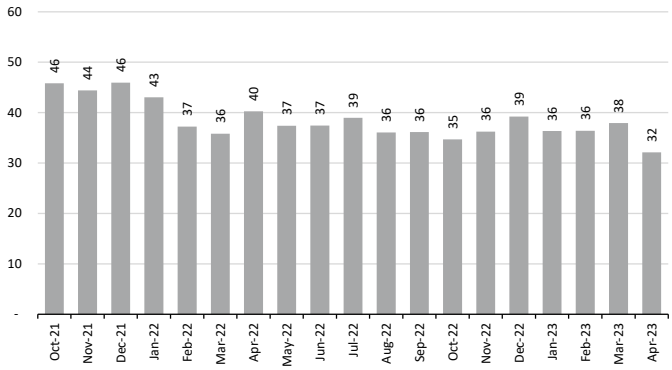
At the moment in our forecasts we are modelling to bookings data with some basic adjustments for off-platform revenues (eg. Plarium Play platform revenues) as it is hard to gauge advertising revenue impacts at this stage. We flag as a potential upside risk to our estimates.

Chart 5 - Social casual bookings (US$m, gross, iOS & Google)



Source: Sensor Tower, Company data, E&P estimates. Note: we adjust the 3P data to account for non-mobile channels.

Chart 6 - RAID bookings (US$m, gross, iOS & Google, adj.)



Source: Sensor Tower, Company data, E&P estimates. Note: we adjust the 3P data to account for non-mobile channels.

Stock Focus

Aristocrat Leisure Ltd

Social Casino

For those not familiar with the app category, the Social Casino concept is a weird one - play slot games on your mobile where you have no ability to win money.

So first as a general statement we will explain what we think the category does for its customers which is: aesthetically pleasing, low brain power, minor endorphin releasing entertainment. At its core slots are a somewhat known loss maker for the user in most instances (rarely do you meet anyone who thinks you could structurally win at slots, albeit people still play), so for a lot of people slots are just a paid way to turn off and kill time and boredom.

We believe the concept is basically to take slot IP in terms of the game design aesthetic that helps people kill time and boredom, and transplant it into an app format that is even lower pressure because, while you can still get the minor stimulous of triggering a winning sequence such as the hold-and-spin mechanic, you also don't have to think about your win/loss position the same way, or think about when you are going to exit a venue for example. For the middle-aged lady who sets herself a $20 pokies budget for a mid-week session at the RSL, this sort of fills the same demand dynamic where that $20 wasn't targeting turning into $100, it was targeting filling an hour, but at home on the couch.

In terms of the games themselves, we took a good look at both Lightning Link and Cashman Casino, and one of the major premises that stood out to us is that the ability to transplant successful land-based real money IP into these apps appears to be a major competitive advantage for Aristocrat in the Social Casino space.

As an example of this, the exact same 'hold-and-spin' feature within the Dragon Link land-based game has been transported into the Social Casino apps, and our own impression is that the feeling of triggering it is very similar between the land-based machines and the app (albeit we would note our mind-set of not expecting or planning to take any winnings away from the land-based games may be the equaliser here).

Exhibit 23 - Dragon Link hold-and-spin feature triggered in Lightning Link app



Source: Lightning Link, E&P

One of the other elements of the Lightning Link app that we thought was done very well was the games carousel, which has a really good attempt at feeling like you are on a Casino floor with lots of game options, and the fluorescent colour scheme also oddly gives a little bit of the same feeling of a classic stereotype casino where there is no natural light and lots of artificial lighting. For someone who is trying to replicate the same feeling of the pub or club or casino at home it is quite well done.

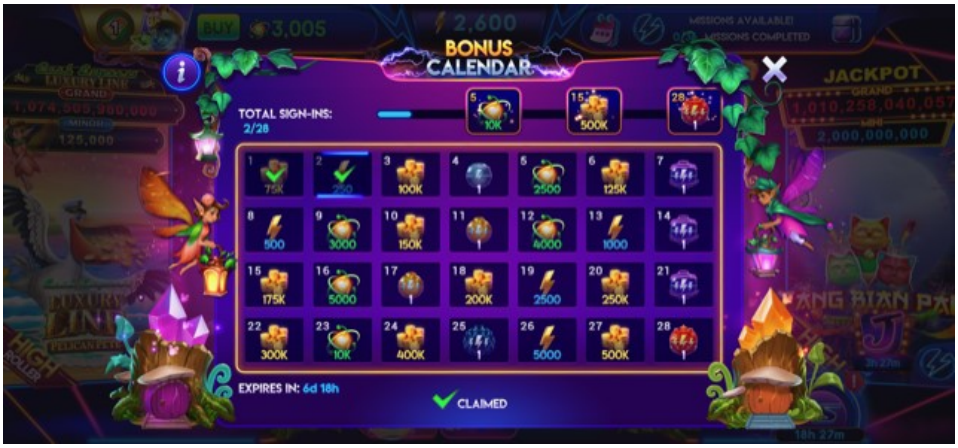
Exhibit 24 - Lightning Link carousel has some of the look and feel of being at a Casino slot floor



Source: Lightning Link, E&P

While the core game features are slot games in a mobile format, Lightning Link has also created some other features that resemble some of the loyalty and engagement dynamics typically seen in a classic mobile game, with daily rewards, and progress missions as shown in the screenshots that follow.

Exhibit 25 - Daily rewards in LIghtning Link



Source: Lightning Link, E&P

The progress missions inside Lightning Link are not all that engaging for a person like myself who is more into skill based or strategy games much more so than passive or low-effort games, however the mechanics do give players milestones to work towards and a general structure which we think would appeal to the set of players out there that engage more heavily with more basic games. If readers are familiar with the game Candy Crush, a good comparative comment may be that Lightning Link's non-slot mechanics give you a proximate experience, but tied to lower brain effort core game.

Exhibit 26 - Lightning Link progress sectors



Source: Lightning Link, E&P

One of the main differences we believe is present between Lightning Link and Cashman Casino is basically the name of the app, with Lightning Link having a direct tie-in to Aristocrat's highly popular land-based IP. In contrast Cashman Casino does not tie-in the same way despite being the same content by and large. Otherwise the apps both target a Casino floor feel in their basic layout, and then take advantage of basically the same premium Aristocrat content. There might be an opportunity for Aristocrat to do something with the Dragon Link name on a future app that could drive similar success in a future new Social Casino app.

We have also noticed that Cashman Casino has a heavier tendency to push monetisation prior to allowing the user into the gameplay. Outside of this, the differences in actual feel of the games inside Cashman Casino vs Lightning Link are barely noticeable.

Exhibit 27 - Buffalo Gold in Cashman Casino, the same overarching IP as the land based business

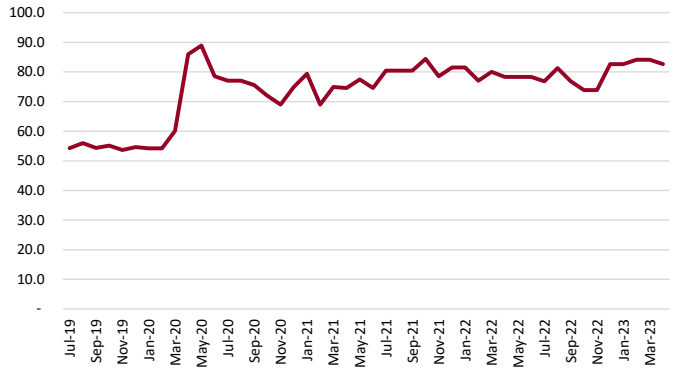


Source: Cashman Casino

Shorter term dynamics in Social Casino

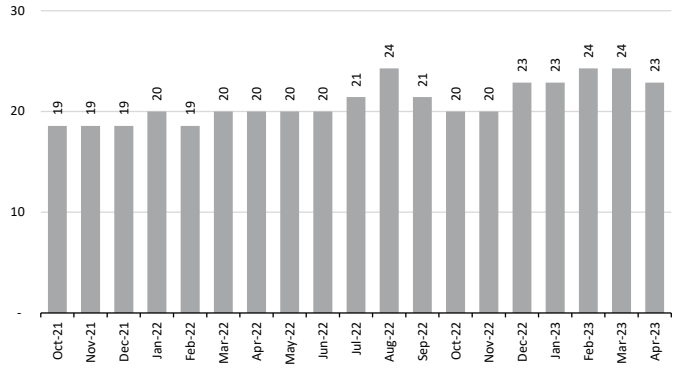
The social casino segment is seeing some solid but muted growth right now. Lightning Link has been a consistent performer. Aristocrat is releasing the Paradise Fortune Slots some time soon, which is not explicitly factored into our forecasts discretely and could provide upside to this trend if successful.

Chart 7 - Social casino bookings (US$m, gross, iOS & Google)



Source: Sensor Tower, Company data, E&P estimates. Note: we adjust the 3P data to account for non-mobile channels.

Chart 8 - Lightning Link Casino Slots bookings (US$m, gross, iOS & Google)



Source: Sensor Tower, Company data, E&P estimates.

Anaxi and iGaming

Our initial work on igaming suggests that Aristocrat will have pretty strong success in the category once live. Industry feedback we have had suggests that there is anticipation from other players that Aristocrat's premium content will be a core driver of success for the company, with most industry players seeming to believe that while platform and remote gaming server (RGS) are tickets to the game, that content and the marketing by the online casino operator are the core drivers of success.

To this end Aristocrat has already got the ball rolling with content deals with BetMGM, FanDuel, Caesars Sportsbook & Casino and a new on-premise-only iGaming product for Class II games in the tribal casino market.

In terms of initial modelling of the segment, Aristocrat acquired Roxor Gaming, which had turnover of GBP7.5m for the year ended 31 March 2022, down from GBP8.2m in 2021. The company was deeply loss making (operating loss of -GBP14.8m in 2022), with its assets acquired as part of a spin-out from Bally's Corporation in 2019. Roxor (under Bally's) started out building casino content and has over 150 games live. The Roxor acquisition has given Aristocrat RGS technology, as well as a suite of published titles. Aristocrat had already been investing seperately from the Roxor acquisition and financial profile as well.

Anaxi has announced the release of its Customer Experience Solutions (CXS) business including Oasis Loyalty. Anaxi has not yet announced a full suite of platform capabilities however, and so there is still a question of build vs buy for Aristocrat to fill out their B2B iGaming offering. Over time we would expect Aristocrat to want to get into the platform business in full. Despite it being regarded now as more of a commodity product, we believe having control of a platform will give Aristocrat some additional flexibility on content over time, and would also protect against an event of some description in the future that swings the balance of power away from content in iGaming.

Consensus appears relatively bearish (or at least not brave in its bets) on the prospects for profit growth in Anaxi, with Visible Alpha revenue expectations peaking at $347.8m in FY30, compared to $1.44b in revenue from Social Gaming in FY23 (Visible Alpha consensus). This basic comparison shows that there is a lot of upside to both financial expectations and valuation if Aristocrat executes on Anaxi well.

Basics of iGaming through an Aristocrat lens

At a basic level, Aristocrat will likely end up focussing more on B2B opportunities in iGaming rather than becoming an Online Casino operator, as their traditional business model has focussed on distributing content and hardware rather than on providing gambling venues. This means that the product suite that Aristocrat will want to offer is:

- Gaming content - Aristocrat has a pedigree in land based and now also social gaming content, and will likely be well served by adapting its existing successful titles for iGaming. Aristocrat has options as to whether to distribute their content exclusively on their own platform and infrastructure, or also through other platforms;
- Remote Gaming Server (RGS) and associated content aggregation - an RGS is the physical infrastructure that the online games are hosted on, and depending on regulations, may be required to exist locally instead of interstate or internationally - we believe this is highly commoditised. In addition, depending on approach, most current providers aggregate content into the RGS so that there is a large diverse catalogue of games available, potentially with one set fee and terms and conditions;
- Platform - provides a number of software mechanics for how customers interact with the Online Casino, including processing payments and player wallet management, marketing capabilities, compliance with local regulations, reporting and analytics, and then programs that help with loyalty including bonusing. These can be bought off the shelf under white-label arrangements or potentially only a portion of the platform may be utilised by an Online Casino that has developed some of their own capabilities (for instance a pre-existing loyalty capability tied to a land-based database).

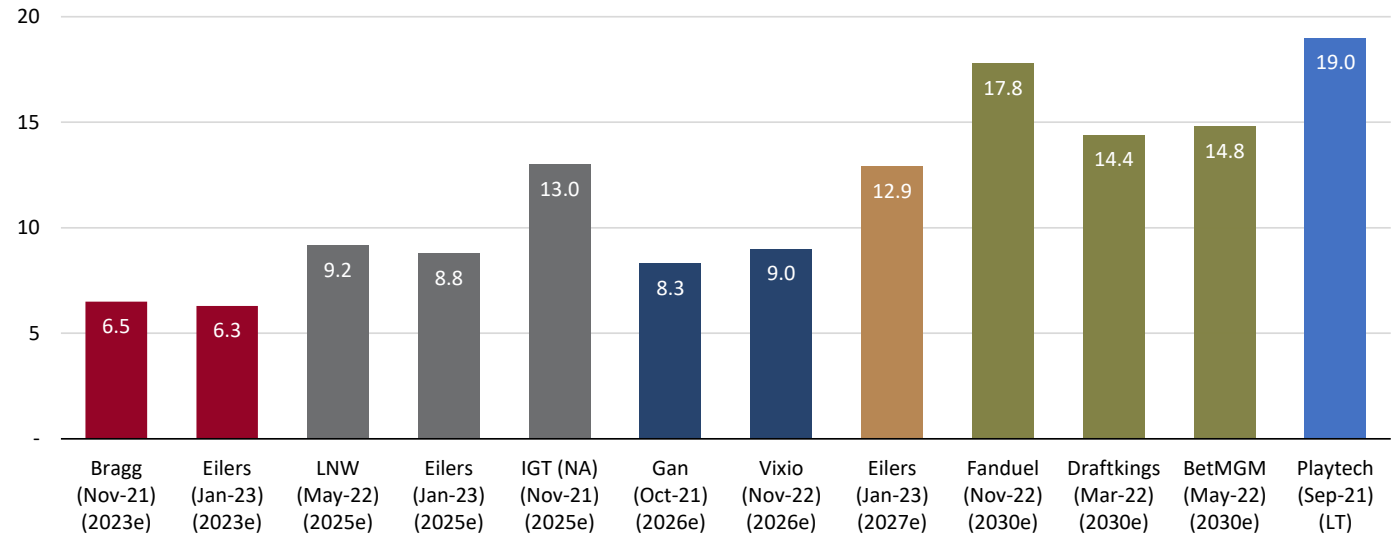
Industry feedback has suggested that good content is the key value driver, with RGS, content aggregation, and even to a significant extent white-label platforms being far more difficult to differentiate, albeit white-label platforms could be very difficult to seperate from over time and maybe have more longer term value than shorter term. Given content has to fit to the platform, in general we see benefits to Aristocrat having a platform offering in order to enable greatest flexibility in product innovation at a minimum over time.

Based on the Anaxi website, it looks like Buffalo, 5 Dragons Rising Jackpots, Miss Kitty, Pompei Rising Jackpots and Wild Wild Samurai are initial titles coming to market.

iGaming market sizing

Current size and forecast growth in US iGaming market include lots of different views, however general consensus appears to be around about US$11-12b and growing rapidly.

Chart 9 - US iGaming TAM Estimates (US$bn.)



Source: Eilers & Krejcik, Company Data, E&Pe

Given the market is relatively new and still developing, it is worth considering core assumptions required to build up to a current and future estimate of the market size. We believe that it is highly likely that the market will end up >US$30b over the medium and longer term as more US states legalise and regulate igaming. The below table shows a set of scenarios mapping the proportion of US Adults enabled to play, and average gross gaming revenue per adult, required to build to a given addressable market. US$30b requires ~40% of US adults to live in a legislated/regulated state, with a GGR of US$300/yr per person.

Table 1 - US iGaming TAM sensitivity table

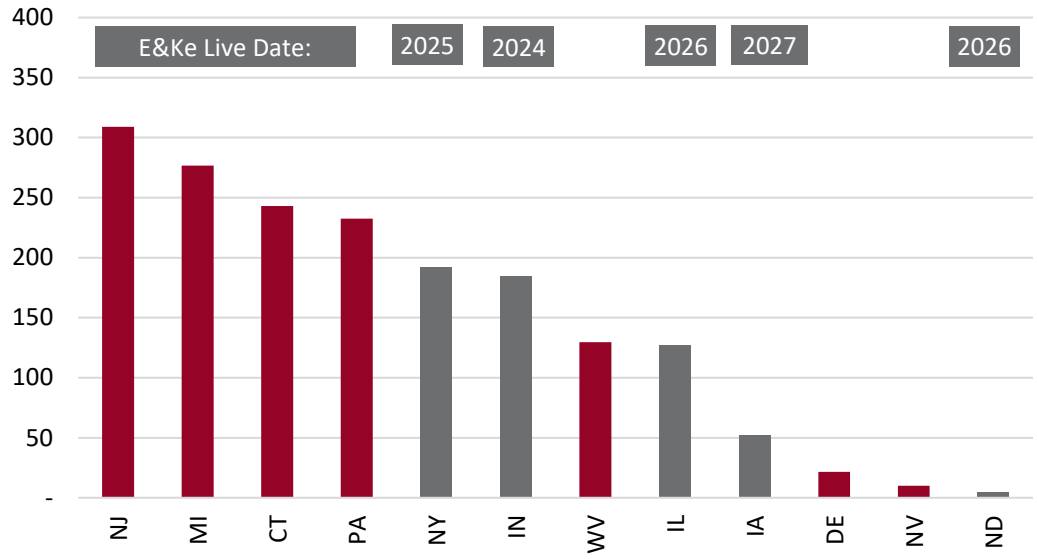
		US iGaming TAM Estimates ($bn.)					
		GGR per Adult					
		$100	$150	$200	$250	$300	$350
US adult population in Legalised States	10%	2.7	4.0	5.3	6.6	8.0	9.3
	13%	3.4	5.2	6.9	8.6	10.3	12.1
	20%	5.3	8.0	10.6	13.3	15.9	18.6
	25%	6.6	9.9	13.3	16.6	19.9	23.2
	30%	8.0	11.9	15.9	19.9	23.9	27.8
	35%	9.3	13.9	18.6	23.2	27.8	32.5
	40%	10.6	15.9	21.2	26.5	31.8	37.1
	45%	11.9	17.9	23.9	29.8	35.8	41.7
	50%	13.3	19.9	26.5	33.1	39.8	46.4

Source: Eilers & Krejcik, E&Pe

The chart below shows estimated spend by adult in US states where iGaming is legal and regulated, and estimates from Eilers & Krejcik on initial spend per adult in markets expected to legalise iGaming (as well as the expected timing in grey squares at top of the chart). With a combination of gradual legalisation and regulation, as well as consumer awareness and potentially

also inflation, we believe the market size can grow substantially in North America and believe the New Jersey benchmark north of US$300 per adult will end up being quite a normal level in the future.

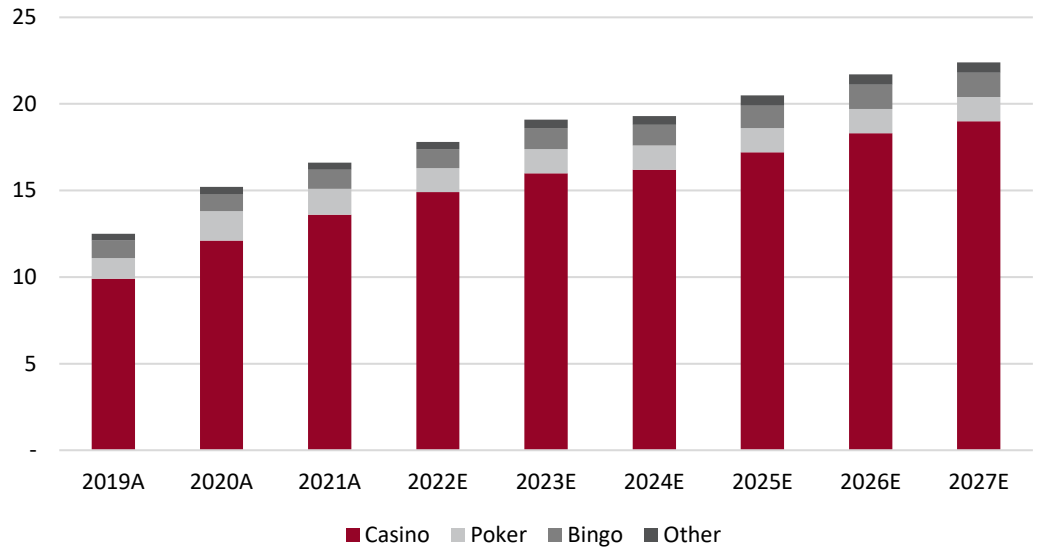
Exhibit 28 - US iGaming spend per Adult 2027



Source: Eilers & Krejcik, World Population Review

The below table outlines current and forecast sizing for the European iGaming market, which is more established and therefore expected to be lower growth in the next few years than the USA and North America. For Aristocrat to succeed in this market it will be driven more by displacement over time rather than market size assuming industry forecasts are roughly accurate. We believe that not much is priced in for Aristocrat succeeding in either North America or Europe however, as such any success in displacing incumbents in Europe is probably all upside to valuation anyway.

Exhibit 29 - European Union & UK Online Gaming GGR (€bn)

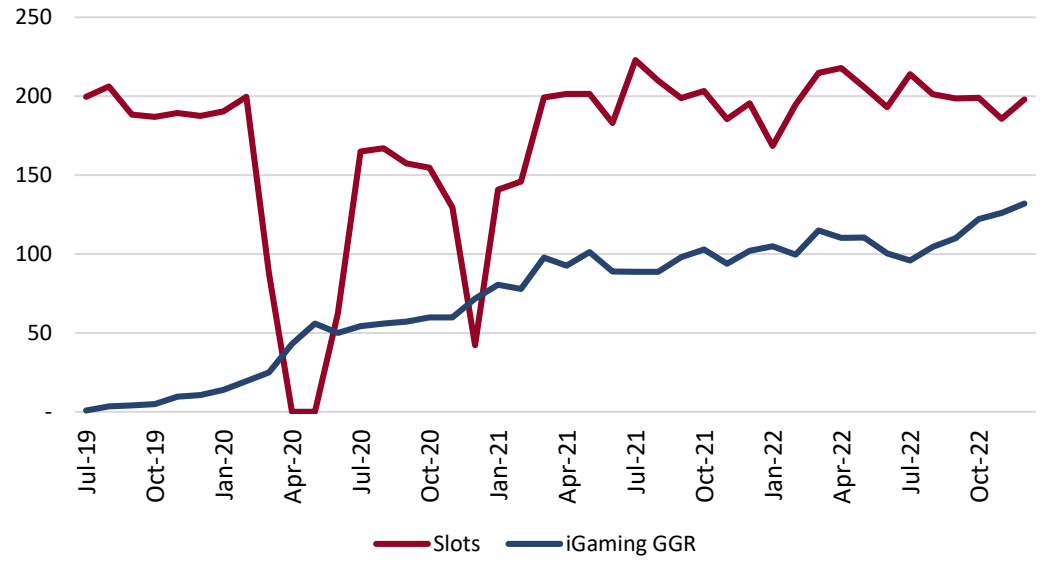


Source: EGBA, H2 Gambling Capital, E&Pe

Land based GGR not impacted by iGaming growth so far

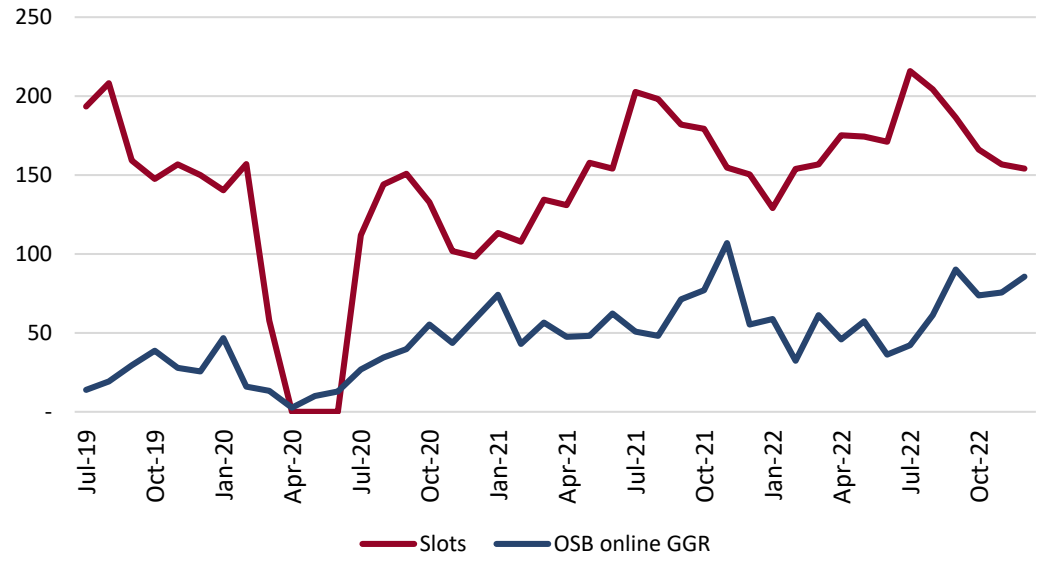
We believe that over a longer period of time there is potential for some cannibalisation of land-based spending from iGaming, however in the shorter term we beleive this is not a big driver of growth for the iGaming space. Evidence around this is in shorter term historical data from states that have legalised iGaming, and have gone through a COVID recovery. Below we present data from Pennsylvania and New Jersey which shows that land-based GGR has recovered to pre-COVID levels or above while iGaming GGR has continued its growth relatively steadily in both states.

Exhibit 30 - Pennsylvania Slot & iGaming GGR (US$m)



Source: UNLV, PGCB, E&Pe

Exhibit 31 - New Jersey Slot & iGaming GGR (US$m)

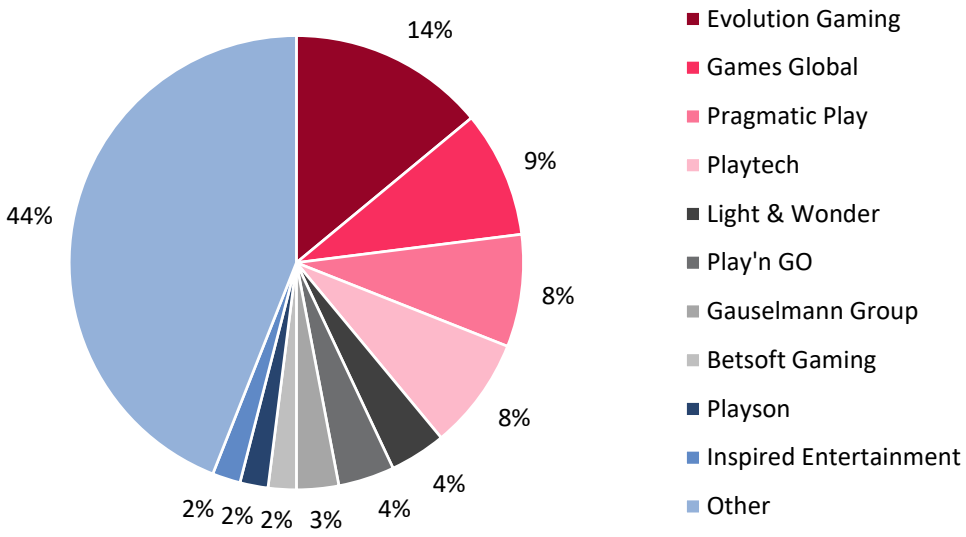


Source: UNLV, NJAOG, E&Pe

Market fragmentation is still high, nobody has won the market prior to Aristocrat's entry

Currently the iGaming market is highly fragmented, and therefore looks wide-open for Aristocrat to come in with premium content and take significant share. So far none of the major land-based players have taken the iGaming market by storm, with Light & Wonder the main player with a decent, albeit definitely not dominant, 4% market share.

Exhibit 32 - Game Positions by Studio Group - 2022



Source: eGaming Monitor, E&Pe

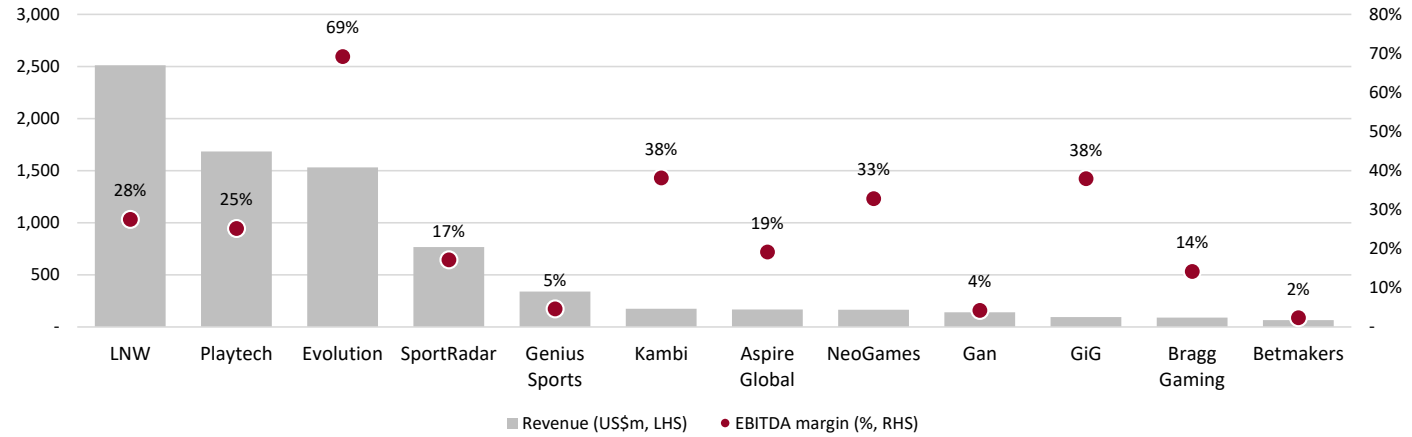
This data indicates that Land-based operators don't just automatically win due to having an existing presence. Our premise is that Aristocrat can go differently because of how differentiated and popular their land-based titles are vs the likes of IGT, Light & Wonder etc. In effect our guess at this point is that premium content is more important than first-mover longer term, in the same way that this has driven success in land-based and social casino for Aristocrat. We don't see a reason why this should be different for iGaming.

Potential for high profit margins in iGaming, particularly leveraging existing IP

We believe that Aristocrat will be able to pull very attractive operating margins out of a scaled iGaming segment in the future. The comparable companies set is not a clean read, but below are shown a number of different operators with different levels of success, stages of scaling, and different business mixes across different online gambling formats. We believe that Aristocrat can migrate margins towards the top of this group over the longer term on an incremental basis due to R&D already being supported by existing business segments to some degree, as well as a lack of hardware COGS or platform COGS (ie. Apple app store fees) to pay when compared to Aristocrat's other segments.

A basic heuristic here is that Pixel United currently generates ~30% operating margins despite platform fees that take close to 30% away as a starting point. With replicated IP, and some ability to avoid platform fees depending on model, we believe that the margin potential for Anaxi is very high. Our terminal assumptions presume ~60% EBIT margins as a result.

Chart 10 - Revenue and EBITDA margins - FY22



Source: Company data, E&P estimates. Note: Aspire Global figures are for FY21 period as it was later acquired by NeoGames

Summary of current major forecast assumptions and valuation

Core assumptions that inform our financial forecasts include:

- North America:
  - 2% longer term market growth in unit sales on 84,250 FY23 base
  - Aristocrat ship-share starts at 24% and creeps up each year
  - North America ASP US$19k growing 2.5% per annum
  - Gaming Operations Class III net ads 3000/yr, Class II net ads 1000/yr
  - Gaming Operations fee per day US$56.60 growing 2.5% per annum with slightly lower levels in FY23/24
- LATAM:
  - 1600 units shipped growing 3% per annum
  - ASP US$14k growing 1% per annum
- ANZ:
  - Market sizing is 18,800 units sold in FY23, growing 3% per annum
  - Aristocrat ship share 66%
  - ASP $23.3k growing 1.5% per annum
  - Access model 14,770 units in 1h23, growing ~1% per half year
  - Fee per day $21.10 growing 2.5% per annum
- International Class III:
  - 3000 units sold in FY23, growing to 6000 in FY25 (recovery to pre-COVID) and then no growth thereafter
  - ASP $40k growing 3% per annum
- Digital:
  - RAID bookings -4.8% revenue growth in FY23, then -2% thereafter
  - Total Social Casual -9% in FY23 then 9% growth thereafter (presumes some success on existing newer titles as well as new titles not yet published)
  - Social Casino revenue growth +3.5% per annum
- Anaxi:
  - $17m revenue in FY23 growing at very high rates throughout the model. FY27 comparable revenue $459m
  - Terminal EBIT margins 60% at scale in FY33

The table below summarises our financial forecasts for Aristocrat:

Exhibit 33 - Aristocrat - financial forecasts

Key financial forecasts	FY21	FY22	FY23E	FY24E	FY25E	FY26E	FY27E
Revenue	4736.6	5573.7	6060.5	6552.7	7091.1	7652.6	8303.9
Americas	*1824.9*	*2415.1*	*2765.3*	*2953.5*	*3170.3*	*3402.7*	*3645.6*
ANZ	*399.8*	*460.7*	*496.9*	*515.2*	*533.7*	*553.5*	*574.1*
International Class III	*44.9*	*106.8*	*140.0*	*216.3*	*254.6*	*262.3*	*270.1*
Digital	*2467.0*	*2591.1*	*2641.4*	*2807.7*	*2977.5*	*3159.7*	*3355.2*
iGaming	*0.0*	*0.0*	*17.0*	*60.0*	*155.0*	*274.5*	*458.8*
EBITDA	1489.6	1800.0	2064.4	2167.5	2339.3	2522.7	2766.7
EBIT	1148.7	1464.3	1706.4	1803.5	1967.8	2143.4	2378.8
NPBT	935.9	1229.1	1623.4	1728.5	1898.6	2080.9	2324.7
NPAT	820.0	948.5	1217.6	1296.4	1423.9	1560.7	1743.5
NPATA	864.7	1099.3	1317.6	1396.4	1523.9	1660.7	1843.5
CFO	1328.4	1246.0	1624.6	1680.4	1799.3	1943.9	2127.3
CFI	-310.4	-334.0	-369.8	-393.9	-416.0	-438.9	-464.8
CFF	-257.3	-605.3	-726.7	-1007.5	-1057.5	-1111.0	-1182.6
EPS (cps)	128.5	144.6	185.7	197.7	217.1	238.0	265.9
DPS (cps)	41.0	52.0	72.7	77.4	85.0	93.2	104.1
FCF (cps)	208.2	190.0	247.0	253.2	273.8	295.8	325.0

Source: E&Pe

Stock Focus

Aristocrat Leisure Ltd

Aristocrat Leisure Ltd, Positive, VALUATION AUD47.91

EAP CORE DRIVERS

- Casino Covid-19 recovery trajectory in key markets
- Land-based share gains driven by game performance
- Mobile gaming market growth
- Digital game performance/success of new game releases
- M&A in existing or new verticals
- AUD/USD exchange rate

INVESTMENT THESIS

- Land-based market position has strengthened through Covid-19
- Land-based share gains expected to continue from: (i) game performance; and (ii) entry into new adjacencies.
- Mobile gaming revenues expected to grow in the MSDs, driven by succesful new game launches
- Strong mobile gaming earnings growth as RAID UA is reduced, increasing segment margins
- NPATA expected to exceed pre-virus levels in FY22
- Stock trading at a discount to ASX 200 consumer discretionary peers despite more attractive growth profile

Stock Focus

Aristocrat Leisure Ltd

FINANCIAL SUMMARY

Aristocrat Leisure Ltd			ALL-ASX		
As at:	07/05/2023		Recommendation:	Positive	Share Price: AUD37.57

Year end	Sep	2022A	2023E	2024E	2025E
INCOME STATEMENT					
Total Operating Income/Revenue		5,573.7	6,060.5	6,552.7	7,091.1
EBITDA		1,800.0	2,064.4	2,167.5	2,339.3
D&A		(335.7)	(358.1)	(364.0)	(371.4)
EBIT		1,464.3	1,706.4	1,803.5	1,967.8
Net Interest Expense		(229.9)	(82.9)	(75.0)	(69.3)
PBT		1,229.1	1,623.4	1,728.5	1,898.6
Tax expense		(280.6)	(405.9)	(432.1)	(474.6)
NPAT attributable to s'hers		**948.5**	**1,217.6**	**1,296.4**	**1,423.9**
Normalisation Adjustments		0.0	0.0	0.0	0.0
Adjusted Net Profit		948.5	1,217.6	1,296.4	1,423.9
Year end	**Sep**	**2022A**	**2023E**	**2024E**	**2025E**
BALANCE SHEET					
Assets					
Cash		3,021.7	3,549.8	3,828.7	4,154.6
Current Receivables		842.2	923.3	995.2	1,076.7
Inventories		0.0	0.0	0.0	0.0
Other Current Assets		317.1	273.1	273.1	273.1
Total Current Assets		4,181.0	4,746.2	5,097.1	5,504.3
Property Plant & Equipment		550	569	592	614
Intangibles		3,891.2	3,883.3	3,890.4	3,913.1
Other Non-Current Assets		1,498.7	1,498.7	1,498.7	1,498.7
Total Non-Current Assets		5,939.8	5,951.5	5,981.4	6,025.9
Total Assets (BS)		10,120.8	10,697.7	11,078.5	11,530.3
Liabilities					
Short Term Debt		2,457.3	2,457.3	2,457.3	2,457.3
Total Current liabilities		3,674.4	3,760.4	3,852.3	3,937.7
Long Term Debt		0.0	0.0	0.0	0.0
Total Non-Current Liabilities		423.7	423.7	423.7	423.7
Total Liabilities		4,098	4,184	4,276	4,361
Total Shareholders' Equity		6,022.7	6,513.6	6,802.4	7,168.9
Net Assets		6,022.7	6,513.6	6,802.4	7,168.9
Net Tangible Assets		2,131.5	2,630.3	2,912.0	3,255.8
Book Value		6,022.7	6,513.6	6,802.4	7,168.9
Year end	**Sep**	**2022A**	**2023E**	**2024E**	**2025E**
OPERATING CASH FLOWS					
EBITDA		1,737.7	2,064.4	2,167.5	2,339.3
Change in Working Capital		0.0	4.9	20.0	3.9
Other Operating Cashflow		1.1	0.0	0.0	0.0
Gross Operating Cash Flow		**1,738.8**	**2,069.4**	**2,187.5**	**2,343.2**
Net interest paid		(127.8)	(82.9)	(75.0)	(69.3)
Tax Paid		(365.0)	(361.9)	(432.1)	(474.6)
Net Operating Cash Flows		**1,246.0**	**1,624.6**	**1,680.4**	**1,799.3**
Investing Cash Flows					
Purchase of PP&E		(269.4)	(369.8)	(393.9)	(416.0)
Other Investing Cashflows		(64.6)	0.0	0.0	0.0
Total Investing CashFlow		**(334.0)**	**(369.8)**	**(393.9)**	**(416.0)**

Source: Company data, E&P estimates

Year end	Sep	2022A	2023E	2024E	2025E
FINANCING CASH FLOWS					
Proceeds from Borrowings		(1,125.1)	0.0	0.0	0.0
Net Proceeds Issue/Buyback of Securities		907.0	(250.0)	(500.0)	(500.0)
Repayment of Borrowings		0.0	0.0	0.0	0.0
Distributions		(347.8)	(476.7)	(507.5)	(557.5)
Total Financing Cash Flow		**(605.3)**	**(726.7)**	**(1,007.5)**	**(1,057.5)**
Net Change in Cash		590.1	528.1	278.9	325.8
Free Cashflow		976.6	1,254.8	1,286.5	1,383.3
Year end	**Sep**	**2022A**	**2023E**	**2024E**	**2025E**
PER SHARE DATA					
EPS - Adjusted (cents)		144.6	185.7	197.7	217.1
DPS (cents)		0.5	0.7	0.8	0.9
Franking (%)		50.0	50.0	50.0	50.0
Cash Flow Per Share (cents/share)		148.9	191.4	196.2	210.9
Book Value ($/sh)		918.4	993.3	1,037.3	1,093.2
NTA Per Share ($/sh)		325.0	401.1	444.1	496.5
Year end	**Sep**	**2022A**	**2023E**	**2024E**	**2025E**
SEGMENTALS					
Revenues		2,240.8	2,233.3	2,338.3	2,426.3
Revenues		2,618.1	2,780.3	2,954.6	3,142.0
Revenues		455.4	467.1	473.5	479.7
Revenues		138.9	183.8	189.7	195.7
Revenues		0.0	36.9	153.9	463.5
Americas EBIT		1,260.3	1,310.2	1,373.9	1,421.0
Digital EBIT		871.4	907.3	971.2	1,039.6
ANZ EBIT		173.5	178.8	188.8	191.9
International EBIT		47.9	54.1	60.6	62.6
iGaming EBIT		0.0	4.8	82.8	240.4
Year end	**Sep**	**2022A**	**2023E**	**2024E**	**2025E**
ANALYSIS					
EBITDA Margin (%)		32.3	34.1	33.1	33.0
EBIT Margin (%)		26.3	28.2	27.5	27.8
Net Profit Margin (%)		17.0	20.1	19.8	20.1
Capital Employed		5,458.3	5,421.1	5,431.0	5,471.6
Return on Capital Employed (%)		28.9	31.4	33.2	36.1
EBITDA/Capital Employed (%)		35.5	38.0	39.9	42.9
ROE %		**19.2**	**19.4**	**19.5**	**20.4**
Net Debt/Equity (%)		(9.4)	(16.8)	(20.2)	(23.7)
Net Debt/Net Debt & Equity (%)		(10.3)	(20.2)	(25.3)	(31.0)
Net Debt/EBITDA (x)		(0.3)	(0.5)	(0.6)	(0.7)
Net Interest Cover (x)		6.4	20.6	24.0	28.4
GOCF/EBITDA (%)		1.0	1.0	1.0	1.0
Total Capex/Sales (%)		4.8	6.1	6.0	5.9
Working Capital/Sales (%)		(0.0)	(0.0)	(0.0)	(0.0)
D&A/PP&E (%)		61.0	62.9	61.5	60.5
EV/EBITDA (x)		11.7	11.4	10.7	9.8

BLENDED VALUATION		
Valuation - DCF	47.91	100.0%
Valuation - Capitalisation of Earnings	0.00	0.0%
Valuation - PER	0.00	0.0%
Valuation - SOTP	0.00	
Valuation	AUD47.91	

Stock Focus

Aristocrat Leisure Ltd

RESEARCH RECOMMENDATION DEFINITIONS

Positive	Stock is expected to outperform the S&P/ASX 200 over the coming 24 months.
Neutral	Stock expected to perform in line with the S&P/ASX 200 over the coming 24 months.
Negative	Stock is expected to underperform the S&P/ASX 200 over the coming 24 months.
Speculative Buy	Stock has limited history from which to derive a fundamental investment view or its prospects are highly dependent on event risk, e.g. Successful exploration, scientific breakthrough, high commodity prices, regulatory change, etc. Consequently, the stock is considered a high-risk investment which may be prone to high volatility in share price movements, have a greater risk of capital loss and/or the stock may have low liquidity.
Suspended	Stock is temporarily suspended due to compliance with applicable regulatory and/or E&P policies in circumstances where E&P is acting in an advisory capacity.
Not Rated	Stock is not included in our investment research universe.

Research Criteria Definitions

Recommendations are primarily determined with reference to how a stock ranks relative to the S&P/ASX 200 on the following criteria:

Valuation	Composite of Rolling 12-month prospective multiples and discounted cash flow (DCF), or DCF for resource stocks.
Earnings Outlook	Forecast 2-year EPS growth.
Earnings Momentum	Percentage change in the current consensus EPS estimate for the stock (rolling 1-year forward basis) over the consensus EPS estimate for the stock 3 months ago.
Shareholder Returns	Composite of forecast ROE (rolling 1-year forward basis) and the percentage change in ROE over 2 years.
Debt Servicing Capacity	Rolling 12-month EBIT Interest Cover ratio.
Cyclical Risk	Qualitative assessment of the 2-year outlook for a stock/industry's profit cycle.
Industry Quality	Qualitative assessment of an industry's growth/returns potential and company specific management capability.
Financial Transparency	If we don't understand it, we won't recommend it.

For stocks where Evans and Partners does not generate its own forecasts, Bloomberg consensus data is used. Analysts can introduce other factors when determining their recommendation, with any material factors stated in the written research where appropriate.

Stock Focus

Aristocrat Leisure Ltd

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Stock Focus

Aristocrat Leisure Ltd

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